Executive Summary

SECTION 1

Business Problem

The business is a multi-format Fast-Moving Consumer Goods (FMCG) retail chain operating across India, with Supermarket, Express and Fresh stores, five regions and a loyalty programme. Every sale is recorded at the billing counter, but leadership needs one place to see how the whole business is performing.

Problem: leadership needs one clear, trusted view of business health. Without it, it is hard to tell whether growth is real or only price-driven, how much value loyalty members create, which categories bring traffic and which bring revenue, whether the business depends on a few cities, and how customers pay.

₹895.29M	+36.8%	+81%	55.5%
Total sales	Sales growth, last 3 months vs previous 3	Loyalty premium per transaction	Share of sales from loyalty members (calculated)

SECTION 2

Growth Momentum: Accelerating Business Expansion

Revenue is up 29.2% and still accelerating

- **Year-over-year growth of +29.2%:** May 2025 total ₹58.5M (loyalty ₹30.8M + non-loyalty ₹27.8M) rose to May 2026 total ₹75.6M (loyalty ₹45.9M + non-loyalty ₹29.6M).
- **Recent acceleration:** sales in the last 3 months were ₹290.80M against ₹212.61M in the previous 3 months (+36.8%). Transactions grew +35.8% (347.6K vs 256.0K), customers shopped +14.36% (13.79K vs 12.06K) and sales per customer +19.60%.
- **Peak months:** March 2026 (₹77.5M), May 2026 (₹75.6M) and January 2026 (₹73.0M). Monthly sales have stayed at ₹60M or more in every month since June 2025.

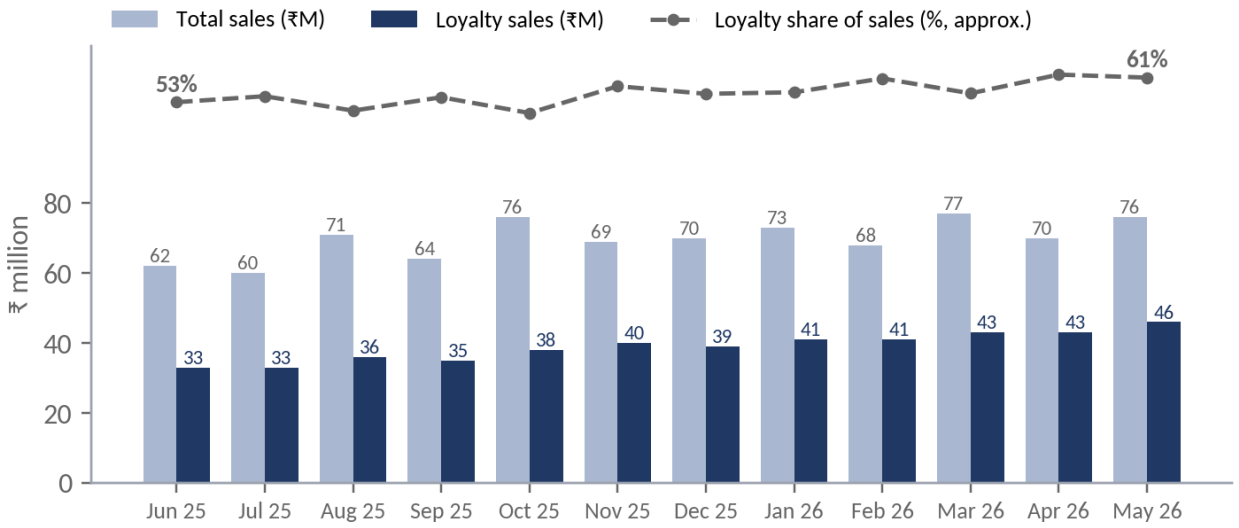


Figure 1: Total sales vs loyalty sales by month (chronological), with approximate loyalty share

Growth is healthy, not only price-driven

- **Volume, not price:** average transaction value is almost flat (+0.74%), so the growth comes from more transactions and more customers.
- **Customer base expanding:** more shoppers, not only existing customers spending more.
- **Balanced and multi-category:** growth is not concentrated in a few markets (section 7), and both Grocery and Electronics perform well (section 5).
- **No sign of stagnation:** revenue rises through the year with ups and downs, and recent quarters show acceleration rather than maintenance.

What this suggests

- The consistent performance across geographies and the sustained momentum support new city launches, category expansion within existing stores and infrastructure investment for scale.

> **So what**
> The business is in a healthy growth phase, and the growth is broad-based and volume-led.

SECTION 3

Loyalty Transaction Value Premium: The 81% Advantage

Loyalty members spend 81% more per visit

- **Average transaction value:** ₹1,121 for loyalty members against ₹620 for non-loyalty shoppers. Every loyalty transaction brings nearly double the revenue.
- **Fewer but richer transactions:** 444K loyalty transactions against 642K non-loyalty ones, yet loyalty generates ₹497M against ₹398M, which is 25% more revenue.
- **Share of the business:** loyalty members account for about 55.5% of the ₹895.29M total sales (calculated).

Loyalty is growing faster than the business

- **Last 3 months:** loyalty sales grew +45.2% (₹173.67M vs ₹119.62M) against +36.8% for total sales, and loyalty transactions grew +48.3%.
- **Rising share:** loyalty share of monthly sales moved from about 53% in June 2025 to about 61% in May 2026.
- **One watch-point:** loyalty ATV slipped 2.07% (₹1.10K vs ₹1.12K), so growth is coming from more loyalty transactions rather than larger ones.

Two customer models

- **Loyalty (relationship-based):** high-value commerce at ₹1,121 per transaction. It provides depth and customer lifetime value.
- **Non-loyalty (transactional):** convenience-focused commerce at ₹620 per transaction. It provides volume and market reach.
- **Likely drivers of the premium (to be validated):** broader baskets, premium products, rewards that encourage larger purchases, trust built by repeat visits and targeted promotions.

> **So what**
> The 81% premium puts a number on the value of loyalty enrolment and justifies investment in acquiring and retaining members.

SECTION 4

Loyalty Depth: Where It Is Strong and Weak

Loyalty is deepest in Fresh, Household and the largest cities

- **By store format:** **Fresh has the highest loyalty share (70.38%)** despite being the smallest format (12.12% of sales). Supermarket is at 55.22% and Express at 46.08%.
- **By department:** **Household is the most loyalty-driven (80.35%)**, followed by Grocery & Staples (58.71%), Beverages (57.81%) and Fashion & Lifestyle (57.56%). Personal Care (48.63%), Dairy & Frozen (45.81%) and Electronics & Accessories (36.62%) have the most headroom.
- **By category:** Cleaning Supplies (89.63%) and Soft Drinks & Juices (79.52%) are the most loyalty-driven categories shown; Mobile Accessories (38.00%) is the lowest. Soft Drinks & Juices also has 232,765 transactions at an ATV of only ₹112.36, so it is a high-traffic category.
- **By city:** the top three cities (Bangalore 60.43%, Pune 60.18%, Kolkata 60.14%) sit near 60%, while Bhopal (49.07%) and Guwahati (46.38%) are lowest among the top ten.

Customer profile

- **Loyalty tiers:** Silver members generate 74.77% of loyalty sales (₹371.84M), Gold 18.38% (₹91.41M) and Platinum 6.86% (₹34.09M).
- **Age groups:** the 26 to 35 (29.2%) and 36 to 45 (27.8%) groups together make up about 57% of age-attributed sales, followed by 46 to 60 (19.2%), 18 to 25 (14.66%) and 60+ (9.12%).

So what
Loyalty is strongest where visits are frequent. Electronics, Dairy & Frozen and the Express format have room to grow, and moving Silver members up the tiers is a clear opportunity.

SECTION 5

Category Behaviour: High-Frequency Grocery vs High-Value Electronics

Grocery drives traffic, Electronics drives value

- **Grocery (Rice & Grains), high frequency and lower value:** Kochi ₹1.42M from 2,306 transactions (₹615 each), Surat ₹1.41M from 2,302 (₹613) and Guwahati ₹1.41M from 2,245 (₹628). Volumes are about 2,200 to 2,300 transactions per city.
- **Electronics (Small Appliances), lower frequency and higher value:** Guwahati ₹1.52M from 454 transactions (₹3,344 each), Jaipur ₹1.49M from 455 (₹3,270) and Pune ₹1.49M from 441 (₹3,371). Volumes are about 430 to 455 transactions per city.
- **Key finding:** Grocery generates similar revenue to Electronics with about 5x more transactions.

Why it matters

- **Grocery is the traffic driver:** frequent, repeat purchases that bring customers into the store.
- **Electronics is the revenue driver:** occasional, high-ticket purchases.
- **Both are equally important** but serve different purposes, so stores must run high-volume checkout for grocery and consultative selling for electronics at the same time.

So what
Traffic and value come from different categories, so the business needs both to perform.

SECTION 6

Revenue Efficiency: Small Appliances as Category Winner

Small Appliances earns 5.3x more per transaction

- **Revenue per transaction:** Small Appliances ₹3,200 to ₹3,400 against Rice & Grains ₹615 to ₹630.
- **Transactions needed:** about 440 to 455 transactions for ₹1.49M to ₹1.52M, against about 2,250 to 2,300 for ₹1.41M to ₹1.42M in Rice & Grains. That is about 80% fewer transactions for the same revenue.

Operational implications

- **Likely benefits of fewer, larger sales:** less checkout congestion, less staff time per rupee of revenue, lower payment-processing effort and less inventory turnover pressure.
- **A balanced model:** Grocery brings customers in and Electronics captures high-value sales. Profit per square foot cannot be confirmed because margin and floor-space data are not in the dashboard.
- **Store layout ideas:** place Small Appliances in high-visibility areas to capture impulse purchases, keep grocery checkout efficient, and cross-promote Electronics to frequent grocery shoppers.

So what
Small Appliances is the most efficient category per transaction, and grocery visits are the best opportunity to sell it.

SECTION 7

Geographic Distribution: Balanced Multi-Region Presence

No single city dominates

- **All five regions appear among the top 10 revenue segments:** East (Guwahati, Kolkata), North (Jaipur, Chandigarh), West (Pune, Surat), South (Bangalore, Kochi) and Central (Bhopal).
- **The top 10 cities each contribute about 6% to 8% of sales,** from Bangalore (₹71.75M) to Guwahati (₹53.83M). Together they total ₹639.4M, about 71% of sales, and no single city is above about 8%.
- **Store formats:** Supermarket is 71.42% of sales (₹639.4M), Express 16.46% (₹147.36M) and Fresh 12.12% (₹108.53M).

Per-city performance is uniform; Central is the region behind

- **Uniform results across cities:** Electronics sales per city are ₹1.44M to ₹1.52M (only 5.5% variation) and Grocery sales per city ₹1.41M to ₹1.42M (less than 1% variation).
- **Regional totals:** North ₹238M (26.58%), West ₹181M (20.18%), South ₹180M (20.13%), East ₹172M (19.17%) and Central ₹125M (13.93%). Central is the one region clearly behind the others.
- **What it indicates:** the business model is replicated successfully across geographies, supply chain, pricing and operations look standardised, and risk is spread across markets.

So what
Geographic balance de-risks expansion: the model works consistently across different markets, so new cities need limited regional customisation.

SECTION 8

Payment Methods: UPI Leads

UPI is the leading payment method

- **Payment mix:** UPI 46.4% (₹415.39M), Cash 37.38% (₹334.63M) and Card 16.23% (₹145.27M).
- **Top segments:** all ten top revenue segments (city and category combinations) are UPI-led, across both Electronics and Grocery and across all regions.
- **UPI leads but is not universal:** cash still carries more than a third of sales, so cash handling remains important.

Benefits and opportunities

- **Operational benefits of digital payments:** lower cash-handling cost and risk, fewer reconciliation errors, faster checkout, better audit trail and real-time confirmation.
- **Opportunities:** instant discounts or cashback through payment apps, partnerships with UPI platforms and automated reconciliation and financial reporting.

> **So what**
> Customers are comfortable paying digitally, which makes UPI-linked offers a natural way to grow loyalty and basket size.

SECTION 9

Summary

- **Growth:** revenue is up 29.2% year over year, and the last 3 months are +36.8% on the previous 3, driven by more transactions and customers rather than price.
- **Loyalty:** members spend 81% more per transaction (₹1,121 vs ₹620), generate about 55.5% of sales and are growing faster than the business (+45.2%).
- **Category behaviour:** Grocery drives traffic (about 2,300 transactions per city) and Electronics drives value (about ₹3,300 per transaction).
- **Efficiency:** Small Appliances earns 5.3x more per transaction than Rice & Grains and needs about 80% fewer transactions for the same revenue.
- **Geography:** performance is balanced, with no city above about 8% of sales and uniform per-city results. Central (13.93%) is the one region behind.
- **Payments:** UPI leads at 46.4%, ahead of cash (37.38%) and card (16.23%), and all top revenue segments are UPI-led.

SECTION 10

Recommendations

1. **Grow loyalty enrolment.** Convert non-loyalty shoppers at checkout with sign-up incentives, because each member is worth about 1.8x the spend per visit.
2. **Deepen loyalty where it is weakest.** Target Electronics (36.62%), Dairy & Frozen (45.81%) and the Express format (46.08%), and offer tier-upgrade rewards to move Silver members to Gold and Platinum.
3. **Use grocery traffic to sell electronics.** Cross-promote Small Appliances to frequent grocery shoppers and place them in high-visibility areas.
4. **Run both store models well.** Keep grocery checkout fast for high volume and provide consultative selling for electronics.
5. **Lift the Central region** (13.93% of sales) with a local growth plan and assortment review.
6. **Build UPI partnerships.** Offer cashback or instant discounts through payment apps linked to loyalty, while keeping cash handling for the 37% of sales paid in cash.
7. **Prepare for expansion.** Use the replicable model to pilot new city launches and track the same KPIs: growth, loyalty share, transactions per city and revenue per transaction.

Figures are taken from the Executive Summary dashboard and its Gold tables. Items marked "calculated" or "approx." were derived from dashboard values.